Luke Gromen: Yield Curve Control is the Only Way to Stop a Global Bond Crisis

Podcast: Monetary matters

AI Executive Summary

Full Transcript

Germany, Japan and Korea are all historically big creditors from a sovereign perspective. And in particular, Japan, if they're borrowing money to do defense to me, they have turned sellers of bonds as well. So now they're selling, they're competing with Besson to play a sponsor. Like everywhere you look, yield should be going up. And so to me, it's just all about, when does something break? at any of them, because once it breaks at one, they're all gonna have to do something. And that something's gonna look a lot like yield curve control, although my suspicion is they'll never call it yield curve control until they have to. Today's episode is brought to you by the Fundrise Income Fund. You'll hear more about the income fund later in the show, but for now, let's get into today's interview. Welcome to Other People's Money. I'm Max Weethy. I am joined today by Luke Roman, president and founder of Forest for the Trees. Luke, thank you so much for coming on the show.

Thanks for me on Max. Great to be here. So there is so much happening in markets and macro right now. We have yields at 20 year highs. I want to understand what is the driving force for this sell off in the bond market gets ultimately a supply and demand issue. And then the secularly inflationary dynamics or or results of how the supply demand issue has been managed. What do I mean by that is that we've seen the US in particular shift issuance to the front end since Yellen late in 23, Besson criticized it as soon as he got in Yellen seat, he did the same thing except more. or at least as much, but then it accelerated the Treasury buybacks that Yellen was doing, which was also shifting to the front end on the margin. And he accelerated that quite a bit versus what Yellen was doing. And if you take a step back, why is this happening? It's very straightforward. No one wants to talk about it, but it's very straightforward. It's right in front of everybody's face.

We kept 100 trillion plus in the United States. Europe and the UK also have their off-balance sheet liabilities. They were all off-balance sheet. And they were always going to stay off-balance sheet until people started getting old. And any sixth grader with an actuarial table and a calculator could have seen that if 65 million boomers were going to be born, they were eventually

going to hit retirement age and start collecting. And once they did, these off balance sheet liabilities would start coming on balance sheet and being cash flow negative. People said, oh, you don't have to worry about it. It's not part of our debt to GDP until they turn 65 and start demanding a check. And now they are. And so that's happening all over the West, adding to the problem.

They would have been bad enough on its own, but adding to the problem has been that the United States in particular has been engaged in forever wars for going on 30 years now, 25 years certainly. And so when you look at veterans benefits, which, you know, right after the Vietnam War, right, expensive, messy war, veterans benefits as a percent of the defense budget got as high as 12% of total defense spending because it's accounted for separately. And then during the 80s, the 90s fell back to three, four, five, six, nine. It's turned up sharply in 2010 and it hasn't stopped. It's now 27% of defense spending. And it's not like defense spending has gone down. It's not like the defense spending hasn't gone down. This chart looks like this. And this again is an off balance sheet liability that comes on. You want to go to war?

Great. You got an awesome military? Great. And you better reserve for what happens on the other side of a war if it lasts too long, which is you're going to be paying out a lot of benefits. We didn't. So now those are coming on balance sheet. And to put some numbers around it, 400 billion of veterans benefits annually now. It's about 8% of tax receipts, which are near all-time highs. And it's growing at like two to three X the rate of of tax receipts because we refuse to stop doing stupid wars and because our guys are getting older and because of the money we've printed to pay for the veterans or the entitlements that are coming on balance sheet, et cetera, inflation's rising. And so the cost of care is rising. So you're getting like triple whammy there on the veteran's benefits costs. And so when you look at just the interest expense on the debt plus the entitlements, You're nearly 100% of receipts. You throw on veterans benefits, you're over 100% of receipts. And that drives a very simple dynamic, which is once you're over 100% of receipts, with debt where it is, you can't raise taxes because it triggers a recession. You either print or you cut benefits. And when more you print, The more inflation goes up, the more inflation goes up, the more

yields go up, the more yields go up, the less attractive or the more inflation goes up, the less attractive long term bonds are, the more you have to shift to the front end, the more you shift to the front end, the more inflationary it is, the faster the faster the debt reprices when interest rates go up. This is the spiral, the US, the UK, Japan and Europe are in.

Being in this is a very recognizable spiral we saw it after World War one in the UK in Germany in in France You know the UK the US paradoxically took care of it the way the Chinese are taking care of it now would just stand aside Let's stuff fall in price like housing We had a huge, you know huge depression for like 18 months in the early 1920s Jim Grant did a great book on that Anyway, this is why yields are going up around the world And there's no easy answer for it. Again, smart people are looking at the boomers and the boomer generation around the world going, and in the West, going, all right, well, they're not going away. And, you know, it's very obvious. They have to keep inflating. Well, it's interesting. We just had another ceasefire pause in the war as people consider the cost of the war. And if you were being generous, you would say, maybe we have some sense here in trying to keep the cost of this thing in check. But the alternative way to look at it is, I can't remember a time when the idea of America not being able to afford waging a war, that it is maybe a signpost of that negative side of things that you're talking about that we can't actually afford to wage this war.

In short, yes. We can wage war on weekends. And as long as the 10-year treasury yield is below 4.7%. Which tells you either it's not that serious a threat on one hand. Number one, it could mean it's not that serious a threat. And Trump is going through the motions. So he keeps his friends in Tel Aviv happy. Or. it means we can't go to war anymore. And it has huge macro geopolitical implications in terms of what we hear so often, right? Ultimately, the US military backs a dollar. Hey, if you try to make things multipolar or sell oil outside the dollar, we're going to come and send the most powerful military in the history of the world. I'm going to beat you over the head with it. And if the latter is even partially true, those things aren't true anymore.

And I think that's what's happening here. And it's still it's such early days in terms of the implications that I think markets are just waking up to the sort of the reality of it. Oh, by the way, that then feeds back into inflation because look what's going on around the world. What are we hearing? Somehow they all got the same idea at the same time. I say that, you know, facetiously, because I think they all sat down and said they're going to do it. Japan, Germany, Korea, UK. U.S. all saying we're going to run basically defense stimmies, right? So in COVID, we did consumer stimmies where you run deficits and you send money to consumers to buy stuff. And these five are doing defense stimmies. They are borrowing money to rebuild their defense bases. And three of those guys, right, Germany, Japan and Korea, are all historically big creditors.

from a sovereign perspective. And in particular, Japan, to a lesser extent Germany, big creditors of the United States. Well, if they're borrowing money to do defense to me, they have turned sellers of bonds as well. And so not only is it inflationary, which reduces demand for attractiveness of long term bonds at current yields, sends yields higher. But it also turns Japan from bond buyer to bond seller. So now they're selling, they're competing with Besson to place bonds. yields up. Like everywhere you look, yield should be going up. And so to me, it's just all about when does something break at any of them? Because once one of breaks at one, they're all going to have to do something. And that something's going to look a lot like yield curve control, although my suspicion is they'll never call it yield curve control until they have to. What about the high real yields we have right now? A lot of people have been saying just looking back over the last 10 years, real yields have never been higher. But if you look back even further, the idea of real yields at 2%, 3% isn't that crazy. Do you think we're heading into a world where to make these bonds attractive if the only way that we know is to keep printing, to keep issuing debt? Are we gonna have to see sustainably higher real yields to make all of this paper attractive? It won't work. If that's the plan, It's a disaster because high real yields when you have debt to GDP of 125% and it growing faster than your economy, right? So the United States is a highly financialized economy. High real yields are going to drive much slower US growth. And the key driver to US growth for the last 12 to 18 months has been tech, has been AI, which is borrowing a ton of money now.

and which is very sensitive to positive real yields. It needs negative real yields. So basically what that translate to, anyone saying that, hey, we need high real yields to place that paper is we need to put a bullet in tech and we need to put a bullet in the American economy to place those bonds. And once you say it like that, you realize how nonsensical it becomes because If you do that, the US will go into recession, US goes into recessions, deficits are gonna rise non-linearly. Last four was three recessions, we've seen deficits rise 600 to 1200 basis points of GDP. So GDP is what, 31 trillion. So you're gonna add two to 3.6 trillion dollars on top of a two trillion deficit in a world where you have positive real yields.

Now what now you still have your entitlements coming on they're gonna come faster because in a recession those numbers grow even faster So you're gonna be looking at that that number I quoted before of of interest gross interest plus entitlements plus veterans benefits You know it's maybe a hundred four percent hundred two percent today. It's gonna go to 130 percent hundred fifty percent and What's gonna happen is the dollar is gonna skyrocket as the US government crowds out all global dollar markets trying to place paper And the treasury market dysfunctions, the stock market crashes in the US around the world, the economy. It's basically early days of COVID from the portion where treasury yields started going up instead of down until they step in and start buying treasuries under the auspices of treasury market functioning in numbers that would make what they were buying under COVID look quaint by comparison. So the positive real yields, people said, hey, sell gold on positive real yields.

All my friends in emerging markets, they're like, when you're at the GDP is 125% and your deficit's six and it's growing faster than your receipts and your positive real yields are going to slow your receipts. The last thing you should be selling on positive real yields on real yields rising is gold. You should be buying gold hand over fist because you know how it's going to end. It's just a question of when. So that's just a mad repositioning and leverage. So when you hear the new Fed share talking about reducing the balance sheet that's just got a sound farcical to you. Yeah, I think it's absolutely farcical. And he is, I think he's saying what he has to say. And I think markets have a way of testing new Fed share people. And I think it

would be a delicious irony if Warsh, who is so desperate, he's been so vocal that he could have done Powell's job better than Powell did.

And look, I was a critic of Powell. You sort of had a moment in time where you can inflate away the debt and he chickened out. That was the brave thing to do. He should have done it, but he couldn't do it. So I've been no big supporter of Powell. I think he'd fine. But to hear Warsh talk about how he could have done so much better is absolutely farcical. And so I think it's going to be a wonderful, delicious irony to watch. If he tries to do this, he is going to he will end up having to grow the Fed's balance sheet bigger, faster than Bernanke and Powell ever did in all likelihood. And so it's just everybody wants to pretend like the debt isn't 125% of GDP. And everyone wants to pretend like there aren't 65 million boomers that are, you know, somewhere between age 80 and age, whatever they are, 64. And they want to pretend that we haven't been at war for 25 years. Like if we, you know, it's like the old joke on, you know, the and three scientists on a, no, scientists is being generous. Three people on a deserted island, right? A chemist, a physicist and an economist. And they're like, oh, we, you know, can washes up. We've got food, great. You know, chemist is like, hey, we could use chemical reaction to open it great. The physicist is like, hey, we can, you know, create a lever and open it. And the economist is like, no, let's just assume a can opener. And so like, Warsh is like, let's just assume I hope you're enjoying today's episode. One of the most powerful vehicles in finance for generating reliable, consistent cash flow is real estate income. It's a yield generating strategy that's backed by more than just cash flows.

It's backed by hard assets like property and land. Investors in real estate credit tend to hold priority positioning, meaning they typically get paid first. Real estate income is a hands-off, highly structured investment designed to deliver consistent and insulated returns. No operational friction, no management headaches, just precision priority and predictable yield. Historically, many of these real estate credit strategies were reserved exclusively for institutional investors. but now they are available to all investors thanks to the Fundrise Income Fund, which has more than 600 million invested and a 7.9% distribution rate. The Income Fund aims to deliver high current yields from a diversified portfolio of Fundrise's most

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That's fundrise.com slash mm. Pass performance does not guarantee future results. Current distribution rate as of June 26. Carefully consider the investment material before investing, including objectives, risks, charges, and expenses. This and other information can be found in the income funds prospectus at fundrise.com slash income. This is a paid advertisement. It'll be interesting this week to see what we get from the Fed. But I mean, just looking at the price reaction to... To the the ceasefire announcement, you know in the past with oil down like this you would have expected bonds to really rally the the equity markets are now negative on the day that we're recording this so we got a ceasefire and with the outside of the oil markets We couldn't get the reaction. I mean, what do you make of that? As well the AI trade on wine as you said it's highly tied to rates. How much of this do you think is?

where we are in the bond market affecting the equity market versus people starting to doubt that we're going to achieve artificial general intelligence. I don't know that their doubting will achieve AGI. What I think is coming to play is China, right? This reminds me so much of so much else I've seen as it relates to China, which is, oh, don't worry, they're never going to catch us. They're closer. but they're still never going to catch us. Oh, yeah, they have a competitive offering, but it's just cheaper. It's not as good. Oh, God, it's cheaper and it's better. And by the time you get to that last one, it's over. You've lost. And I think that's what we're in the early days of seeing with this AI, which is, again, 2000.com bubble, it burst. Who cares? It was mostly equity issuance, right? The equities go to zero. Sorry, thanks for playing. If you believe in the sock puppet, you lost. OK, great.

That's markets. The second they started borrowing money and mass to finance this and then using these vendor financing arrangements, et cetera, and then it got looped into a national defense imperative. I think that's what we're watching is the fact that people say, well, there's a big debate. Is Japan better? Or excuse me, is China better? Is China not better? I don't know. I don't have the credentials. to know and evaluate which AI model is better. I read smart people who I think do have the credentials and they kind of go

both ways with different, here's what I know, 30 years in markets. The fact that we are discussing is China competitive or not is all that matters because it means it's close enough for government work. And in sectors that are as richly valued as this, I mean, we are valued in frigging La La Land.

on multiples of revenues, PE, to the ones that even have earnings, and they've borrowed a bunch of money. It was all borrowed on the come, all of it. Well, it wasn't like they had the cash flows to pay this stuff. And so if you forget about a down round, if you just have a slower round of refinancing things like open AI equity, et cetera, the whole thing starts to come unwound. that has capital flow implications, that has growth implications, and to your point, that the long bonds in the United States, 10 and 30 year treasury, sold off over the last two weeks or last month, as the AI trade was questioned over the last three weeks. It's a really troubling signal. Now, you could say, well, we went back to war and oil went up, and that's why, fair point. But I think you raised a great point, which is, oil's down today.

What's a tenure? I saw it earlier down to basis points. I mean, it's not it's not the rally you would expect for will down down five bucks on a pause of the war. No, no. And so, yeah, I think it's super important. You know, we had we had charts in a report for clients last week, which highlighted, I saw that not or excuse me, labor force participation rate in the United States is tanking. It's not only is it tanking, but it's back to COVID lows. And I'm like, all right, well, let's just see what this looks like. I took it back to 2000. And I compared it to 10-year treasury yields. And it's like the same chart. Lower labor force participation, lower 10-year. Makes sense. Deflationary. 30-year. It's even tighter. Well, let's look at 10-year term premiums. So what's the market, the rate the market's demanding to buy US longer term paper against that?

pretty correlated, until 2022-23. And all of a sudden, long-term yields and term premiums had taken off as labor force participation rate has turned down. And in the last six to 12 months, all three of those have taken off like scalded cats as labor force participation rate is tanked. That is emerging market with a debt and fiscal crisis price action. There is no world where a declining labor force participation rate should be driving sharply higher

yields. There should be no world there, none. And yet it's happening. And so why? I think it goes right back to that discussion of, hey, we can pretend, right? You can ignore reality, but you can't ignore the consequences of ignoring reality. And Warsh and all the others are ignoring debt to GDP is 125%. Japan's a seller, Germany's a seller, Korea's a seller.

UK is a seller, UK has been our second biggest creditor, by the way. So they're going to build up their military chances are they're going to finance their own bonds instead of ours. And then you've got debt as well, like I said, debtward isn't you've got these off balance sheet liabilities coming on balance sheet at rates that are two, three X of what receipts are going what GDP is growing. It is a it's the same. It's the same problem Weimar Germany had after after World War I mean I don't think that's where we're going because for a lot of different reasons but directionally it's the exact same problem. Now you talked about the changing nature of the stimulus that we're going through right now compared to COVID where it was sort of direct to consumers. I mean do you do you view their their being a potential that all of this AI spending has become such a big driver of the GDP growth of the of the US economy at this point that it It is, in many ways, the stimulus, and it will be backstopped. Yeah, I do. And to me, the only question is, how big a drawdown do you need to justify some sort of treasury or Fed backstop bailout guarantee of the AI thing? I heard credible rumblings. The subject was broached six to nine months ago already. Oh, really? That they've already discussed what happens if this whole thing unwinds? In specific cases.

Okay. And would it be just like the public bonds, like the big bond issuance that we hear about from the major companies? How far down do you think they would go? What was the Fed buying in COVID? Weren't they buying junk bonds? Weren't they buying corporate? They were buying corporate bonds, right? I don't know if they ever bought the corporate bonds. I know they said they would. They just opened the door that that's a possibility that they would do that, but they never actually... stepped in. Yeah, they did it at all. Yeah, if they did it at all, it was small. But that was enough, right? So I think, look at the look at the imperative of how this is being described, right? We can't afford to lose this. This is the new Cold War, China can't

win blah, blah, blah, blah, blah. And then look at the reality of the math. And you just, to me, it is it's elemental.

They're going to have to buy backstop. They'll just take over NVIDIA. NVIDIA is on the tape today, guaranteeing 250 billion of, I think it's open AI. I think it's open AI, some sort of data center here in Ohio, actually. And interestingly, NVIDIA is down on the day, the last I saw. So NVIDIA is starting to trade down on guaranteeing other people's bonds. That's another signpost. That shouldn't be happening. And ultimately, I think Treasury or Fed will take over for Nvidia as guaranteeing these things. They'll take over for SoftBank, take over for, and just backstop the whole thing. And it may not even be that expensive per se, but I think that's what's gonna happen. And it'll be a really, I think stocks go up on that. I think bonds go down on that. I think dollar goes down on that. I think inflation goes up on that. I think gold goes up on that. I think Bitcoin goes up on that.

I think industrials go up a ton on that. So to me, it's just so crystal clear. That's where this is going. But again, it's, Warsh is going to lose all credibility after it happens. And so will Besant, right? Because Besant will be running the friggin' Chinese economic model he's been complaining about for the last 15 years of his career. And that's fine. That's what this was always going to go. But just don't pee down my back and tell me it's raining. Just tell me the truth Yeah, I mean they're taking stakes and companies like Intel it seems there's Chinese characteristics for for sure But I want to talk a little bit more about the the short term we had quite the whipsaw in expectations in in rates this year from Everybody saying we're gonna get cuts to now people are starting to price in in hikes the the There was a period in time when people were pricing in cuts and the long end was selling off. Now we're getting, we're having inflation concerns and the long end is selling off. And so I wonder like, is there a world where without intervention in the bond market where you see the long end stabilizing? Yeah, I think we're past, we've crossed the Rubicon on that front.

And the bond vigilantes were for a long time knee-kept by derivatives. And the private vigilantes. But the vigilantes now are, Kevin Warsh is a vigilante, right? He's talking about selling bonds out of the long end. The global sovereigns are foreign central banks, are vigilantes. They're not

buying this stuff. They haven't bought this stuff for 12 years. On a net basis central bank holdings of bonds are down slightly over 12 years as the debt has risen like I want to see about like 18 trillion dollars over that time Maybe it's just 12 trillion, you know, what's 6 trillion between friends, right? the So I think we're past the Rubicon on that front now. What could I do to get? The long end down I could get it down for a little bit for you, right if you blink hey S&P down 40. S&P down 20 in two days, three days. I could get the long-end bid for you for three, four, five days, maybe even a week. And then it's going to turn around. It's going to start selling off with the S&P. We saw that in COVID. We saw it in Liberation Day. We saw it on the war. We keep seeing it. People don't want to believe it, right? It's like if you're watching the movie Jaws, and it's like, oh, girl washes up. She's cut in half. That's just a motorboat engine.

little boy gets chomped up and then the other the fisherman gets chomped up and like you see in the teeth and you're seeing the bite mark then you see the shark and you're and and and yet you go I'm still going to go swimming I don't know what's eating people they say you know there's something out there the issue is there's too much supply there's not enough demand at the rates that we can afford and everybody knows it it's a because it's a pretty straightforward math problem and so I can get you rates down for a week or maybe even 10 days. If we crash S&P, if we have another Black Monday, like 87 of it, I could get it down for you. The other way I can get it down for you is Kevin Warsh, prints money and buys it and caps it. That'll get it down for you. And I guess the last way is Besson going to Warsh and saying, hey, revalue gold and or Besson letting gold really run.

and then revaluing it and then telling Bess, or Warsh, excuse me, to create a TGA deposit and Besson buying back his own bonds. Then I could get it down for you. And if you did that by the way, you get that the GDP down, now sort of these traditional metrics that for the last 30, 40 years I'll work with, hey, if we have equities down 10%, that's gonna create demand for bonds. It will not create demand for bonds. Until you D lever the bet you have to D value debt to GDP from 125 to at least 80 and probably more like 60 to 70 percent Which means you either got a whack the heck out of the dollar Particularly against gold Or you have to do yield curve control. That's it like those are the ways out and you know, they want they don't want they

don't want to do that because then they're gonna you know They're going to be the John Laws who have to buy back all their bonds at night printing money. I mean, this is going. Which one do you think is more realistic? You do have to give Warsh a little credit that he has at least come in saying that he wants to change the way that the central bank thinks. The idea of revaluing gold in the past monetary policy regimes of the past few decades seems kind of outlandish. I mean, do you think that they would that that Warsh would revalue gold? Or do you think he's going to be more traditional and just do, you know, financial repression? I think he's gonna be much more traditional. I think I agree that it's outlandish that they would do gold at least until they absolutely had to do it. I just want to try to find here on my screen, something that Warsh said recently, because everyone's talking it right. So last week, he told Congress that The Federal Reserve is not in the bailout business, especially not for the biggest debtor of all the U.S. Treasury. Sorry, that was Gregory Ipp at the Wall Street Journal. He did, though, append an escape clause. This is a direct quote last week from Kevin Warsh. Quote, in periods of crises like the 2020 pandemic and the 2008 crisis, central banks by design need to step into markets to create a fair price. End quote.

OK, so we'll get fair prices. Fair for who? Yes, we'll get fair prices. Yeah. So he's basically full of crap to be blunt. When push comes to shove, he's going to play tough for a little bit. He's going to play harder to get. He ain't going to sleep with the markets on the first date. He's going to wait till date three when he has a crisis. Then he's then he's gonna be sleeping with him, you know giving him whatever they want because he doesn't have a choice His alternative is the Treasury market dysfunctions again because it's a supply-demand problem If he wants to change that he's got to devalue the debt Well, let's talk about where some of that demand is going you said it's going to just other bond markets just because there is so much issuance but also central bank buying of gold has has There was a brief blip in March when I think people were selling gold to get dollars to buy oil as the price of oil went up, emerging markets in particular. But since then, buying of gold has resumed. We have stabilized a bit in the gold sell-off. Do you think that now with the crisis maybe, Behind us again. Do you think we are going to start to see the gold buying pick back up and a resume a resumption of the rally? I don't know if the crisis is behind us or not. I think that remains

to be seen But I do think the gold buying will just resume because I think there's a moment in time where people sell gold to get To get oil right basically to finance reserves and they sold treasuries right alongside that as well. You can see that in the data But the longer a war goes on the less you want to own bonds and the more you want to own the more you want to own gold and Also what this war has demonstrated, which is the Americans not only can't go to war on Anything other than a weekend or and as long as the 10-year Treasury yield is below 4.7% But even under those conditions they can only go to war for a couple months and then they run out of defensive missiles and Need China to restock them And they can't make their own rare earths yet. And with those set of circumstances, what do you want to own? The bonds of that country or do you want to own gold? Especially knowing that they're busy sanctioning everybody over everything still. If I was any random country having been threatened by Trump, Greenland, France, Spain, England, Germany.

Korea, they pulled the missiles for me, right? So, you know, they love me so much. And then when, when the crap hit the fan, they pulled all my defensive missiles and came to Israel. What would you own? I would own your own goal. And so I think that's what we're seeing. So I think, and then, oh, by the way, the Chinese who were supposed to be the worst hurt of all of this, right? There were some in some circles, this was a five D chess move to choke off the Chinese. What are the Chinese done? You know, they bought like 80 tons. Then the next month, and when the price fell, then they bought like 100 tons.

then then price stop falling, then they bought 110 tons, then they bought 140 tons, this most recent month in June, they bought 173 tons. They're literally buying like 70%. 60. No, it's closer to 70% of global gold mine production on a monthly basis. When they're supposed to be collapsing because they don't have any oil in this and that and the other. So like that narrative is being demonstrably proven false. But I think they're also going, Oh, you're gonna not go down. Awesome. Wave it in. Wave it in because and so I think really, from here on out, you know, I think gold buying is going to continue because you want to own the bonds of someone who can't afford to go to war over 4.6, 4.7%. Why? Because they're telling you if we have actually have a real war, they're going to print, they're going to print

those bonds into like oblivion to buy them all. It's by gold. So you think Gold purchases are going to continue to accelerate from China. Let's say this crisis does continue. I mean, obviously they stabilize the price. They stopped importing oil. They sold a lot from their reserves. We don't really know how big those reserves are. Do you think that that's the lever that they can continue to pull? And how long do you think it can go? I do think it's a lever they can continue to pull.

Number one, if I read correctly the other day, they're the biggest refiner in the world. And they can buy it in yuan and dollars. And so now you can sort of play with, you buy it in yuan, you can sell it in dollars. There's a lot of things you can do with a refinery and the ability to buy feedstock in two currencies. So that gives them optionality. What have we been hearing for the past year plus? What are they flooding the world with? solar panels and electric cars. Like you can see what's happening there. According to at least one source in the first half of 26, they reduced oil demand by 1.4 million barrels a day by shifting to EVs. They have the grid to be able to do that because they spent the prior 20 years investing in grid and instead of in, you know, fighting wars in Iraq and Afghanistan.

And so I think they have an ability, you know, their reserves are not, their reserves are not infinite, their SPR. And when Trump got elected, I hear they, uh, businesses ramped up cash holdings to like six months of cash because they figured a trade war was coming. Trade war came. Besson got and said, uh, we've got all the leverage. And two months later, he folded like a cheap suit, as did Trump. Then they spent 2025. really ramping up SPR and probably longer, right? SPR holdings. War comes, they run it down. My guess is they were probably ramping up purchases with oil down in the 60s and 70s. A few weeks ago, we've certainly seen, we've heard that in terms of some public on the LNG side ramp up of that. And so they seem to be doing a pretty good job of managing these. And again, Does it mean they can go forever? No. Does it mean they're omnipotent? No. But they don't have to be faster than the bear. They just have to be faster than the pudgy camper that's over there in Washington and in Europe and in the UK. Those fat campers over there, the bears will run down faster. It's just a pain contest. They won the pain contest in April of April of 25, Liberation Day. We're going to put it to them by May.

CEOs of several of the biggest retailers in the U.S. They went to the White House said there's gonna be empty shelves in three to six months if you don't stop it Round one of the paying contest goes to China. Okay, let's go round two We're gonna cut China off Venezuela Iran Bar market goes a four six six. He folds like a cheap suit, you know 10-year yield goes a four six six so You know, I've been very surprised. I was very surprised by what China did to be honest Had they not I would have been right because they did what they did, I was wrong about the disruption, the oil, oil interruptions, etc. were going to cause. So I think they're going to continue to have flexibility around that because they've shown a willingness to be flexible and a willingness to react, right? They don't wait for, you know, they just go, look, it's Trump, oil's a 65. Do we think he's going to suddenly start being rational? Nope, bio. You know, oil's at 95. 10 years at 47.

Do we think he's actually going to blow up his own market? No, he's Trump. He's inherently self-interested, sell oil, sell whatever. I think that's what they're going to keep doing. And it is interesting because China had this huge property bubble. Their market has gone nowhere for a number of years. They've been willing to suffer through this period of Down prices from from their biggest asset classes, and I'm sure it's been hard for those people But they haven't they haven't folded on it. They've they've said this is what we need to do to get things Back to normal and they're doing it and here we can't take it for a Week two weeks of market pain before we fold I mean you talked about the CEOs coming to to say you know the shelves are gonna be empty To me, it feels so much simpler than that. It just feels like it's market prices. It's purely market prices and we can't take the pain here. I would take it one more, which is the equity market is the economy. They actually have a real economy. We don't. And they're related, so it's a little bit of a flip statement. But she came out in, I think, 2018 and said homes are for living and not for speculating.

And when you look at when he gave that speech and what happened to home prices after, it was a distinct policy choice. We are going to deflate housing. And then you can also see loans picking up into different industrial, you know, basically making stuff to make sure that China 2025, which they had laid out in 2015, would happen. And so they redirected capital out of housing into goods, increasing goods supply. which is, you

know, we're seeing that in competition in cars, right? It's hit corporate profit margins there, et cetera. It comes down to a view of where they want their country to be in 10 or 15 years, right? So do we want, you know, America, we cater to the boomers, right? Home prices have to stay high. Equity prices have to stay high. Realistically, if either of those fall, the fiscal situation, which is already teetering, completely implodes.

The Chinese because they didn't do the dumb wars and because they don't have the social Programming that we do right you know people say well they're dead the GDP is higher well. Yeah, do you include entitlements because if you do it's not and Because they don't have the social safety net that we have and they didn't do the dumb wars that we did for 25 years They have more leeway to take some of that pain and take the longer run view of where do we wanna be in 2030? Because what's gonna start to happen if we just let home prices run and run and run, where people can't afford houses, is you're gonna start to have political instability. If you have, I mean, there's Peter Turchin did a book on it, TURCHIN. I can't think of the name of it right now, but he looks, he created a scientific field called Cleodynamics, which looks at, Basically, it's wealth inequality and elite overproduction leads to political instability. And so people say, hey, it's great. The US market's up and houses are up. And so it's all fine, right? Like think about what Trump, what was her name, the blonde, right? She didn't ask about Epstein. And she's like the 1,050,000, right? That tells you internally, that's the only thing they're talking about. This is our talking point, 1,050,000. That's great.

But political instability is already happening. Trump's here because of political instability. Charlie Kirk got shot. That's a symptom of political instability. The CEO of United Healthcare getting assassinated on the streets of Manhattan. These things didn't happen in America when I was growing up. I have a friend of mine who has the contract for the medical examiner's office in two major second-tier cities of the United States. Anybody who dies a murder, suicide, drug overdose, suspicious circumstances, accident, they get them. And it's a monopoly. They said, we are busier now than they were at the depths of COVID when people were drinking, shooting, and overdosing themselves to death. So you've got this sort of political stability dynamic that I think the Chinese are considering

because they don't have the financing role that they have to address that we do quarter to quarter to quarter to quarter. And the election cycle.

you know, every six to 12 months. And so it's smarter. Like how do you stop political instability? Well, the first way you do it is you don't make houses go up and up and up so no one can afford a place to live. Like that's a pretty good smart way. Like if I wanted to create a revolution, I would jack up food prices. I would jack up housing prices. I would jack up healthcare prices. I would jack up education. And one of the Chinese are giving away education. Their housing prices have crashed. Equity prices are down. Right? So, you know, it could be a sign of weakness of the Chinese. Maybe they're afraid of a revolution. I don't know. But I can tell you the U.S., right? What do we have in New York? We have a vowed Marxist running this city of New York. And people are like, this is fine. That dows at 50,000. There are mixed feelings here, depending upon who you're talking to. It's going to get worse. It's going to get worse.

because you've got a lead over production and you've got record wealth inequality and wealth inequality in America is higher now than it was in the Gilded Age. It's going to keep getting worse. Yeah, it's interesting the Chinese as well. You know, I was invested in some of their consumer lending names. They're just seeing incredible loan growth and the Chinese by and large. It's not a debtor society and it's people paid back their loans at incredible rates. Um, and, but the Chinese cracked down on it. They said, we don't, we don't want to have so much of a credit consumer credit driven economy because it creates these, these negative feedback loops when, when the tide goes out and they just, they stepped in and they, they shut down on a lot of the loan growth and a lot of the, the stuff that made, that made the whole thing work. Um, yeah. And the CCP doesn't like competition, right? Because at the end of the day, if you're making loans to the people, You're in control of the people, not the CCP. They don't like that. Yeah. Well, here the market seems to be in control. So we've talked about gold. We've talked about bonds. What about the dollar? I mean, you said you think they're going to have to whack the dollar, get it down to help fix some of these problems. I mean, how is that going to happen with yields just continuing to rise and rise and rise? What are they going to have to do to get the dollar down?

Yeah, and with oil where it is, right? Like you had a moment, you could do it and then you did this dumb war and now you can't. You can't. You can't devalue the dollar with oil at 85. Come on, you're right. You know, very, very clearly over the last three, four years, as long as oil is between 60 and 80, the Treasury market's fine. Once it hits 85, it starts a dysfunction. Yields go up. You got to get it down. So if you're, you know, for Besant, who came out early 25, said, judge us by the 10 year, well, How you doing, buddy? You're not doing good. The three arrows are all in the toilet and the 10 years at four, seven. Nice job. Heck of a job, Brownie, right? So how are they going to do that? They're in a bit of a pickle, right? I think the way you do it is ultimately you let a momentary risk off. The challenge is that's like, you know, that's like trying to, you know, Just have a small explosion by lighting a gasoline soaked rag and a nitroglycerin plant like we just want a small explosion So we're just gonna it's tricky. I think you need political cover. So you're gonna need risk off for a moment and Then you can you know, but paradoxically to send a dollar higher that creates a debt feedback loop That's gonna send yields higher. You're gonna get a moment where yields go down and then they're gonna go up at the long end on that just like they have repeatedly Because, again, your biggest margin of 40% of the notes and bonds, net issuance since 2022, has been bought by Cayman Islands hedge funds since 2022. That's Fed White Paper last October. What do Cayman Islands hedge funds do? Number one, they managed to a monthly mandate. So anytime volatility goes up anywhere, they de-gross their entire book.

What do they sell? They sell treasuries because they're the ones that you know a lot of them are doing so the bigger ones Certainly you're doing this hedge fund relative basis trade. That's who's buying all these treasuries And that's why in the short run why treasury yields long long yields go up on risk off now You got very fickle creditors. So How do they get it down? I think you're gonna need a risk off and then you're gonna need something that looks a lot like what we saw post COVID Which is you know de facto yield curve control and with fiscal stimulus. And that'll do it. Is that a dip you would be a buyer of? I mean, we talked about how reactive both the elected government and our central bankers have been to any sort of instability and prices. I mean, you look at comparing to 2008, how much

faster during COVID they got the dollar swap lines out. They talked about backstopping.

the credit markets. Now we've got the president, if we get oil above a certain point, the war is off. We're incredibly reactive. And any dip, whether it was Liberation Day or the Iran War or COVID, I mean, the greatest dip buying opportunity that many of us have ever seen, is the next dip going to be one that you want to buy? I think all the dips are ones you want to buy in dollar terms. Look equities are still down 30% from 2022 in gold terms and they're down 40% from 2000 in gold terms And I think that is you know as long as China is China. I think that's the new Regime right where even if we want to beat down gold and sort of make a statement about the dollar What are the Chinese doing? They're just showing up and waving it in every month more and more And we can't we can't afford to have a force majeure issue in London or in New York In physical gold and so ultimately the Chinese are driving the boat on gold Chinese are watching all this and going there's a disaster like we did this like in the in the in the in the King dynasty like 400 years ago We know how this goes. You know, it's it's like the back of the future. I've seen this one Those are the Chinese right now. I've seen this one. I know how this goes So they're gonna keep buying gold because there is no mystery how this is gonna go and probably silver too by the way And so dips should absolutely be bought in dollar terms But in gold terms, I think the next five years, I think we're gonna look back in five years and I think the S&P's gonna be up big in dollar terms. I think it's gonna be down in gold terms. What do you have for your price target for gold over the next year? I think it probably gets back and probably through all-time highs. I mean, that's actually a pretty big rally from here. So I don't like to be that aggressive. So let's say it goes back to 5,000.

And, you know, eventually, because I also think part of it too, like the other thing about the Chinese is the very gradualism, right? They're not, they don't do big splashy things like the Americans do, right? It's very subtle, right? We drop bombs and wipe out, you know, the family or the ruling family run. Chinese are much more subtle than that. And they've done the same thing as it relates to gold. You know, they were on the ropes a bit in the third quarter of 23. And what happened? Like they changed the rules a bit and spreads in Shanghai blew out gold premiums, blew out. And we

wrote a report at the time for clients are using gold to defend the Yuan. And we were right. That's exactly what happened is basically, okay, the Yuan's under pressure. We're just going to empty London and New York gold vaults until the pressure's removed. And it was and it was. And, and they didn't it was so.

By I bring that up by way of saying I don't think like they're gonna be you know a lot of gold people like oh, they're gonna make it 10,000 tomorrow Probably not that's not their style, but their style is it'll be 5,000 in a year and it'll be 6,500 in two years three years It'll be 8,000 in four years and it'll be 10,000 in five years You know and the S&P will have gone up from 7,000 to 11,000 or something and yeah S&P up in dollar terms down in gold terms Because that's the one thing the other thing that a lot of the sort of the China hawk cycle Oh properties gone nowhere stocks gone nowhere. Tell me how gold's done in China Because that's that's one of their biggest savings. It's also a huge capital base for the bank banking system. How's gold done? Oh, well, that's gone That's up 4x in the last six years and oh by the way the same people looking for a collapse in the yuan against a dollar I've completely missed a collapse in the yuan against gold, which is what's happening And it it's literally the way the system's designed for the you want to fall against gold over time So because that's how they're internationalizing you want. They've said that repeatedly for 10 years, 11 years, 12 years. So that's how I think about equities. It's dollar terms, gold terms. I think ultimately good for Bitcoin too, but not yet. Yeah, we haven't talked much about Bitcoin. What's happening there? I think there's obviously a huge Five-year comp problem. I think that that's you know something with Bitcoin obviously you have the the store of wealth the people who want to get a hard asset outside of the dollar system but at the same time it's a highly still a highly speculative asset and You've got all of these other speculative assets right now that people are making money on you're seeing Streamers who used to cover meme coins are covering AI stocks. How much of the of the slowness in Bitcoin do you attribute to there's another flashy shiny thing in the room right now for speculators to go and tell their friends about I think that's a big part of it. I think you've got You know that that that thing, you know flashy flashy competition syndrome You've got a civil war going on in Bitcoin of sorts right between the the bit Versus non-bip and like I'm a Bitcoin guy like that. I've owned it.

I don't have time to figure out what's what I don't like Just tell me when you stop like beating the heck out of each other and and what what we're doing You've got some increasing still, you know credible concerns about When quantum becomes an issue potentially for a part of the base of Bitcoin out there and to me the other You know, you've also got the four year cycle issue, which suggests we have more downside from here, given historical precedent, you know, through maybe the fourth quarter, early fourth quarter of this year. And then you, for me, the biggest hangup for me still is it still trades like a tech stock. Days when NASDAQ's up, it's up. When NASDAQ's down, it's down. Except for this year. It's underperformed the NASDAQ massively for the first half of this year, and then it has actually outperformed the NASDAQ a bit in the last two, three weeks.

because it's already been knocked down. Now, I don't, I'm very nervous about anything tech related. I don't like the setup there at all. And so basically for me to kind of, you know, I owned a lot of Bitcoin. It was a huge part of my net liquid net worth. I sold most of it, almost all of it. Last year, 96,000, 23, 24 ounces of gold. We're still sitting here 14, 15 ounces of gold, 65,000. I'm not buying it back with what I see the risks on tech because I just, you know, yes, Bitcoin's already sold off, but if we really get a risk off that we need for Warsh, that I think we need for Warsh to have the political cover to cut rates aggressively, weaken the dollar, all these things. And this newly emergent competitive setup from China. Look, if we have a two, three month stretch where the Nasdaq really gets hammered, I don't want to own Bitcoin on that. And I'll be happy to be wrong if that's the case. Look, if Bitcoin goes up in that, I'm going to be dead wrong. But I just have not seen anything in the last several years to suggest that if the NASDAQ really gets waylaid for a month or two or three months, that Bitcoin is going to somehow scream to noone now. When they start backstopping NASDAQ or when NASDAQ gets bad enough that It's becoming apparent they're going to have to backstop it. That is where I want to be adding back to Bitcoin. And I might be being too cute by half, but I think that's where this whole thing's going. That's how I see it playing out. And then I want to be loaded up Bitcoin to the gunnels. And then I'll take my chances. I just think the price is going to be lower than where it is today. You think that Bitcoin is going to be a play over gold? Yeah. I mean, history would suggest that. Yeah. We have a Fed meeting coming up.

As you said, the first date with the market, Warsh came out and he said, you're not getting any. And everybody interpreted it as quite hawkish. But he's also said that he doesn't want to be giving a lot of guidance. I mean, what do you think the chances are that he kind of Whipsaws the market around and goes back the other way just to sort of teach us all a lesson about taking his words Too seriously, I mean do you think that we're we're set up here with with everybody expecting hikes into the end of the year for worse to kind of Wiggle around a little bit and and and make the market Unwind all that pricing. I have no edge here. So take everything I say I'm about to say on it with with a with a block of salt. The fiscal situation suggests he can't hike rates this year. Full stop. The oil market suggests he should hike rates. Full stop. The tech market suggests he should be cutting rates aggressively. Full stop. If he cuts rates or he hikes rates, long end yields are probably going higher either way, which is only going to then. So if I'm him, I never would have taken this job.

You know unless they're like depositing a hundred million dollars in a Swiss bank account or something for him to be the bad guy, right or something like that But even then I don't know that I would do it because my reputation is worth more to me than a hundred million dollars so anyway, I don't know what he's gonna do but I Feel pretty strongly that every movie makes there's gonna be something wrong with it like he's got options, but they're just all unpleasant raise rates 25 basis points might be enough to kick the legs out from under what's going on in AI. I mean, look what we're watching like you said earlier today. Okay. Well, don't do anything then. Okay. Well now oil picks back up, you know, and inflation picks back up. Lose the wine even more. Yeah. What are you going to do? Like, and it ultimately, you know, the fix is simple. It's just not politically easy. It's, it's, you know, those entitlements have to go away and there's no way you can make them go away.

Okay, so if the title wins won't go away Then the war has got to go away and the defense department's got to go away, but it's got to go away without a recession. I can't do that and Okay, well then the last options you got to cut rates when you shouldn't be cutting rates and buy a bunch of bonds when you shouldn't be buying those bonds Devalue the heck you know yield curve control to value the heck out of the currency. Those are your

options And you know so tell you so to your point right is is the first yeah, this is the First day last month was the first day. Here's the second day. I think he still plays hard to get, but I think he plays hard to get in an easy to get way, right? Where there's some mystery like, Hey, just stay with me. You know, it's going to be just give me a little time. It's going to be, it's going to be canceled by me too. Luckily by the, unfortunately by the end of this conversation, apparently, but luckily it's not a couple of years ago. At any rate, I think he's, he's trying to ride two horses with one ass for another.

Another couple another you know till the next meeting. I don't even know when that is I should but I don't but it's probably what six weeks eight weeks Oh, yeah, 68 weeks September something like that But it's great, right? It's like the old rush song if you know if you don't even if you don't make a choice you still made a choice Yes, perfect line for pal. He's he's gonna have to flop a card one way or another. He flops a card on Wednesday. Yep, and He's got three, and it's not like this is like, you know, these aren't important constituents, right? This is oil and inflation, the treasury market, and AI, which is the key driver to economic growth over the last two years. So one of them is going to be unhappy, at least, and maybe two. And that'll set us up for the third day, which could be real doozy. I want to close with a question about sequencing and what you're watching and how you think this is all going to unfold. What is the area that's going to start this?

the AI trade unwinding? Is it losing the bond market? Is it more conflict, the forever war in the Middle East? What is it that you think people should be paying most attention to, to sort of see the path forward that you're talking about unfold? I don't know. And that's what scares me. That's why I'm sitting, you know, personally of my liquid net worth nearly 60% in cash, T bills and gold bullion. Because I don't know. I've got like a bunch of of, you know, flies flying around looking for a windshield. So what's the windshield? Is it the Japanese bond market? I don't know. Is it supply chains now that we're sort of re closing Hormuz? I don't know. Is it the UK bond market? I don't know. Is it the German bond market? I don't know. Is it the US bond market? I don't know. Is it this war? I don't know. Is it You know the fact that Russia has been helping target us assets and and can continue to do so and we're out of Patriot missiles and something Untoward

goes boom. I don't know is it Ukraine and Iran getting into it now and all of a sudden, you know, I don't know there are so like And again, I wouldn't care I wouldn't care too strong. I would care a lot less about any of these things if we were trading it 2002 PE multiples and levels of sentiment. If we were trading at 2008, if we were trading at 1980, we're like a 42K Schiller PE. It's La La Land and that's why even though I would expect gold to sell off, if any or all of these things go boom in the short run, I think gold actually would still go down because you're still a financialized instrument, I look at all these things and like It's just so crystal clear. I want to have the gold position there because we know in two years dollar you know stocks higher in dollar terms lower in gold terms like gold is now the reference point to Sort of everything in my view as a result of all the the untenability of all these issues the untenability of wars like he's got to make a choice and they all suck There's no good choice, right? Like, you know, do you want to shoot yourself in the head, in the heart, or in the nuts? Pick. Like, uh, nine? No, no, no. You have to shoot one. Pick. That's where he is. So between stocks, the dollar, and the bond market, which one do you think is a bigger bubble right now? The biggest bubble, I guess, is still the bond market.

on a real basis right it's to because to own long-term bonds you have to believe that your own government is going to defund itself defund the defense department defund the most powerful political constituencies and crash the stock market which would crash the bond market if they tried it by the way just to preserve the real value of the bond market like there is zero chance that's going to happen and so to me the only question on the bond market is like What is the yield that they ultimately he YCC yet? That's like that's the most interesting thing to me about the bond market the rest of it like I If you want to own bonds by gold and I think that's eventually that's where the markets gonna go like you if you want to own duration own gold Because gold is just a 0% yielding bond of infinite duration finite issuance and infinite face value. Why would you own a? 10-year treasury which is you know 4.6% yielding, infinite supply, finite face value, finite yield. And I think it's more, you know, central banks have gotten that. They got that 12 years ago. US banks are like, no, Chinese banks are like, yeah, wave it in. Chinese people will wave it in. Yeah, I get, we get it. We get it. Most of the emerging, most of the, you know, the global South, like we get it, wave it in. You know, the Western, Western, and it's not just a US problem. It's, it's

the Germans. It's the UK. There aren't any sort of They're all on the same page like oh no these bonds. These are you know, these are valuable I'm reading about the South Sea bubble right now It's like I'm reading this book I'm 100 pages into a 220 page book and I must have laughed out loud like literally 15 times already because it's just like oh my god This is all just happening again. Yes. I've seen this one. I've seen this one. Yeah, exactly Yes, indeed. Well, Luke, we will leave it right there. People can find your writing for your clients that you talked about today at Forest for the Trees. That's FFTT-LLC.com as well. You're on X, you're on YouTube, whatever your favorite social media platform they can follow you there. Luke, thank you so much for joining us. Thanks for having me on, Max. It was a great conversation. I appreciate it. Hope you enjoyed today's interview. Remember to check out the Fundrise Income Fund. Click the link in the description to learn more about the strategy and assets. Until next time.